EQUITY RESEARCH · COMPANY DEEP DIVE

Tesla, Inc. (TSLA.US)

Consumer Cyclical · Auto Manufacturers

Large Cap (>$200B) · Report Date: June 01, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-06-01

HOLD

Blended Target: $411.89

DCF + Comps + Analyst (see cross-check table)

Implied upside: -1.0%

Price (Jun): $415.88

INVESTMENT HIGHLIGHTS

- **HOLD** — blended target $411.89 (-1.0% vs $415.88); analyst-led valuation after outlier checks.
- Declining revenue; compressed margins; conservative balance sheet; weak roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Tesla, Inc. (TSLA) — Consumer Cyclical. Tesla, Inc. designs, develops, manufactures, leases, and sells electric vehicles, and energy generation and storage systems in the United States, China, and... **HOLD** rating; blended target $411.89. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$1.56T	Shares Out.	3755.7M
52-Week Range	$273.21 – $498.83	P/E (TTM)	381.5x
P/B	19.0x	Beta	1.79
Avg Volume	60.80M	Analyst Rec.	Buy
Revenue (TTM)	$94.83B	Rev Growth	-2.9%
Op. Margin	4.2%	FCF (TTM)	$6.22B

FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	97,690	94,827	92,048	90,850	90,704
Revenue Growth (%)	N/A	-2.9%	-2.9%	-1.3%	-0.2%
Net Income ($M)	7,130	3,794	3,683	3,635	3,629
Net Income Growth (%)	N/A	-46.8%	-2.9%	-1.3%	-0.2%
Gross Margin (%)	17.9%	18.0%	19.1%	19.1%	19.1%
Net Margin (%)	7.3%	4.0%	4.0%	4.0%	4.0%
ROE (%)	9.8%	4.6%	4.5%	4.0%	3.8%
EPS ($)	1.90	1.01	0.98	0.97	0.97
Book Value / Share ($)	19.41	21.87	21.87	24.11	25.32
P/E (x)	219.06	411.68	424.11	429.71	430.40
P/B (x)	21.42	19.02	19.02	17.25	16.43
Dividend Yield (%)	N/A	N/A	N/A	N/A	N/A

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	$17.57	-95.8%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or distorted FCFE)
Comps — P/E (peer median)	$32.89	-92.1%	—	Peer median P/E 30.2x
Comps — EV/EBITDA (peer median)	$31.55	-92.4%	—	Peer median 9.9x
Comps — P/S (peer median)	$10.20	-97.5%	—	Peer median P/S 0.4x
Comps — Blended (avg. of available multiples)	$24.88	-94.0%	0% (excluded)	Diverges below other methods (6% of median)
Analyst consensus (Yahoo Finance)	$411.89	-1.0%	100%	Included in blend
Blended target (weighted)	$411.89	-1.0%	100%	Analyst 100%

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	13.86%
Terminal g	4.00%
FCFE growth	2.50%
Base FCFE	$6.22B
PV explicit (5Y)	$22.94B
PV terminal	$38.78B
Equity value (adj.)	$66.00B
Implied price	$17.57
vs. current	-95.8%

INDUSTRY ANALYSIS

1. Industry Overview
Tesla, Inc. designs, develops, manufactures, leases, and sells electric vehicles, and energy generation and storage systems in the United States, China, and internationally. The company operates in two segments, Automotive; and Energy Generation and Storage. The company offers electric vehicles, as well as sells automotive regulatory credits; and non-warranty maintenance services and...

2. Key Trends
• Revenue contraction (-2.9% YoY)
• Above-market volatility (β=1.79)
• Sector: Consumer Cyclical | Industry: Auto Manufacturers

3. Risk Factors
• Premium valuation (P/E: 381.5x)
• High market sensitivity in downturns

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
F	Ford Motor Company	$66.27B	N/A	27.4x	-3.2%	+6.4%
GM	General Motors Company	$74.55B	30.2x	9.9x	1.4%	-0.9%
RIVN	Rivian Automotive, Inc	$22.76B	N/A	-6.9x	-63.6%	+11.4%
TM	Toyota Motor Corporati	$238.41B	9.9x	5.3x	7.6%	+1.9%
TSLA*	Tesla, Inc.	$1.56T	381.5x	145.0x	3.9%	-2.9%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Declining revenue; compressed margins; conservative balance sheet; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.